

Welcome to 401MAN The Business Environment

Welcome Back! And Welcome to CUW!

- Who you are?
- What are you looking to achieve through CU?
- Something you are passionate about
- Fun Fact about you
- Most famous person you have ever met
- Your personal Motto
- Two personal objectives for 2025
- Who is your most influential person?

What are we going to cover today?

- Introduction to this module [401MAN – The Business Environment]
- Overview of assignments 1 & 2
- What is the business environment?

6 Week Plan

Week 1

- Introduction to the module
- What is the business environment?
- Introduction to Environmental analysis.
- What is an organisation and why do they exist?
- Organisational theories.
- Stakeholders

Week 2

- The organisation, its people and culture.
- Size, Structure and concentration levels.
- Legal forms.
- Managing and financing an organisation.

Week 3

- Relationships and networks.
- Globalisation
- Assignment workshop!

Week 4

- Markets
- Supply and demand
- Industry and market structures
- Political environment

Week 5

- Technological environment
- Ecological and social responsibilities
- Culture and society

Week 6

- Legal environment
- Whole module review.
- Assignment workshop

Learning Outcomes

1. Explore the organisational types and purposes of businesses from a range of sectors.
2. Demonstrate an understanding of the nature of the environment that organisations operate in.
3. Illustrate and explain the impact of environmental forces on organisations at a micro and macro level.
4. Assess the significance of impact of environmental forces at an organisation, market, sector or industry level.
5. Demonstrate an understanding of the requirements of a variety of stakeholders to a chosen organisation.
6. Measure and appraise the effectiveness of the responses of organisations to policy actions taken by key stakeholders.

Assignments

Assignment 1 – 1,000 word report

31/01/2025 7pm

Assignment 2 – 2,000 word report

21/02/2025 7pm

Assignment 1

Submission Instructions:

An individual student submission should be made in a Microsoft Word document via your campus AULA submission page.

There is a maximum word count of 1,000 words for this article and students must not deviate more than 10% each way of this.

Assignment 1

Scenario:

Working as a Junior Analyst at The Sports Consultancy, specialising in international sports events, you have been commissioned to produce a **1000-word (+/-10%) written report** analysing the organisational landscape of Global Sport Events, including the different types and purposes of businesses within this sector, as well as stakeholder dynamics.

The firm has provided you with three prominent case studies to focus on (but not restricted to):

- The International Olympic Committee (IOC)- oversee the organisation and execution of the Olympic games.
- The International Management Group (IMC)- manages events across sports like tennis (Wimbledon) and golf (PGA events).

Dentsu Sports who work with the Olympic Games, FIFA World Cup, and other international sporting events You are to analyse these organisations and provide insights into their roles, purposes, and how they manage relationships with key stakeholders

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Essential Reading

- <https://cug-coventry.aula.education/#/dashboard/ba48cbdd-b378-4da4-ad6f-39920d9778d8/journey/materials/947295c3-e14d-421c-b465-0a6e9604f0cd>
- AULA – Reading Lists
- BibliU – online access to the books



Break

20 Minutes

“What do we mean by .. The Business Environment?”



What do we mean by...

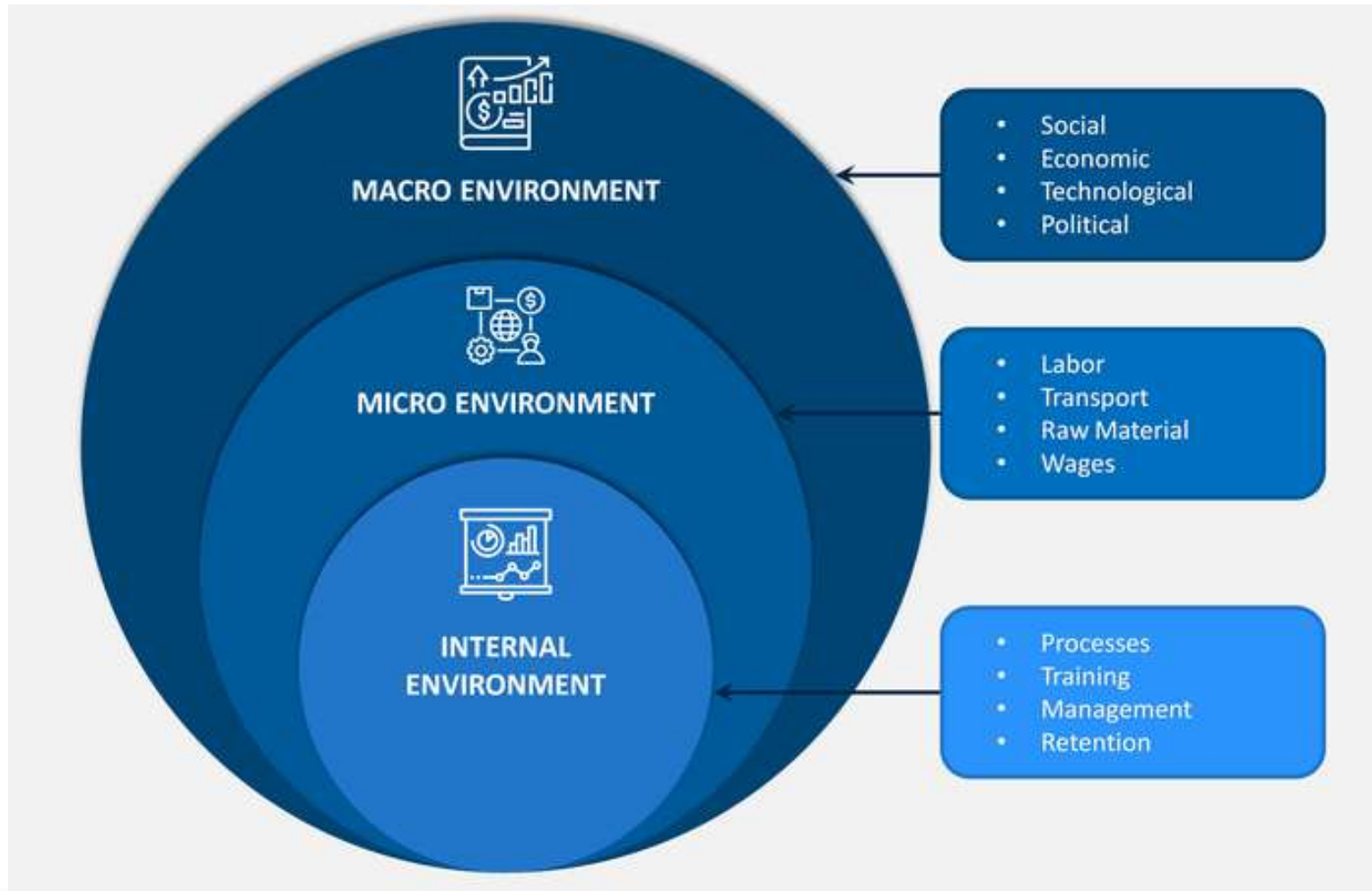
The Business Environment?

Business Environment means a collection of all individuals, entities and other factors, both internal and external, which may or may not be under the control of the organisation, but can affect its performance, profitability, growth and even survival.

Every **business** organisation operates in a distinctive **environment**.

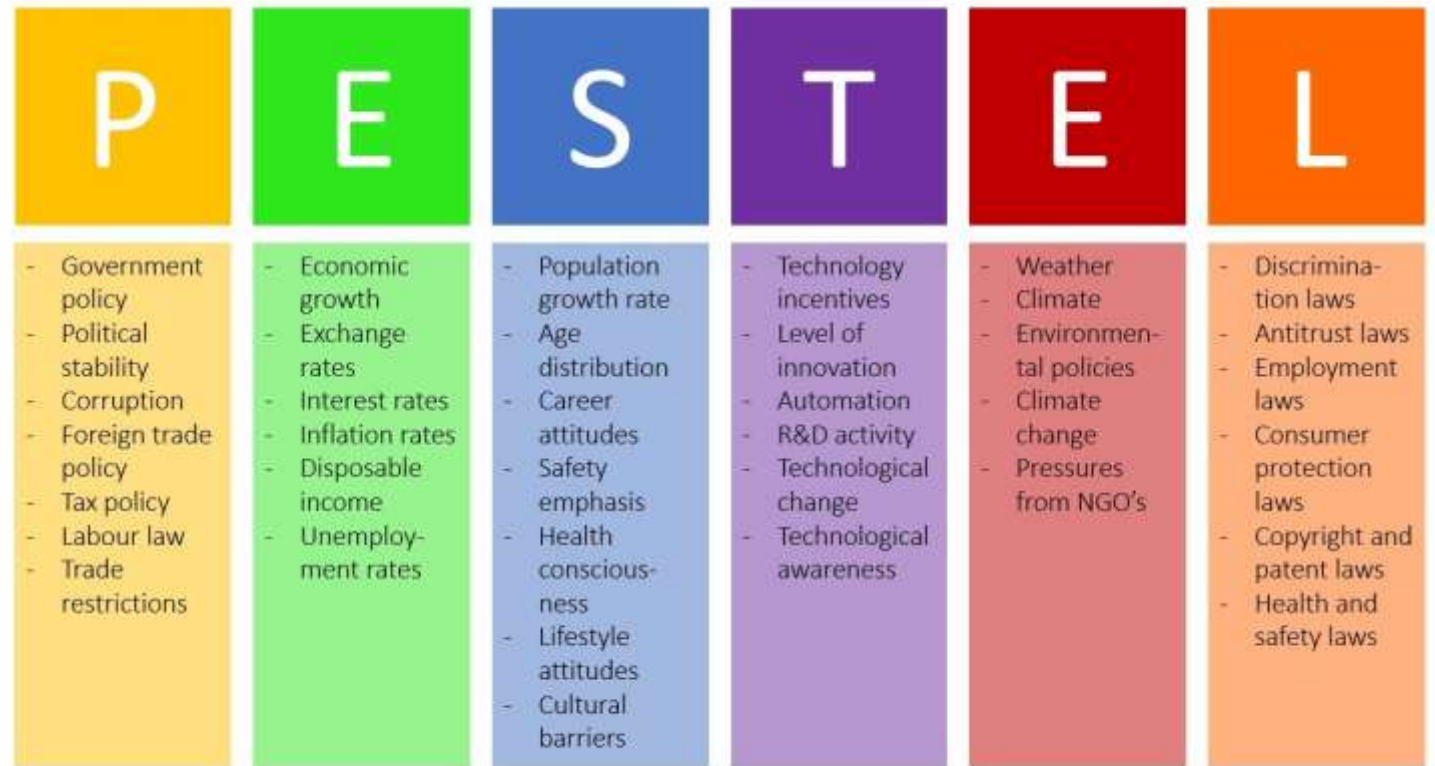
Worthington, I., & Britton, C. (2018). *The business environment*. Pearson education.

So what is the Environment?...



The Macro Environment

- Political
- Economic
- Social
- Technological
- Environmental
- Legal

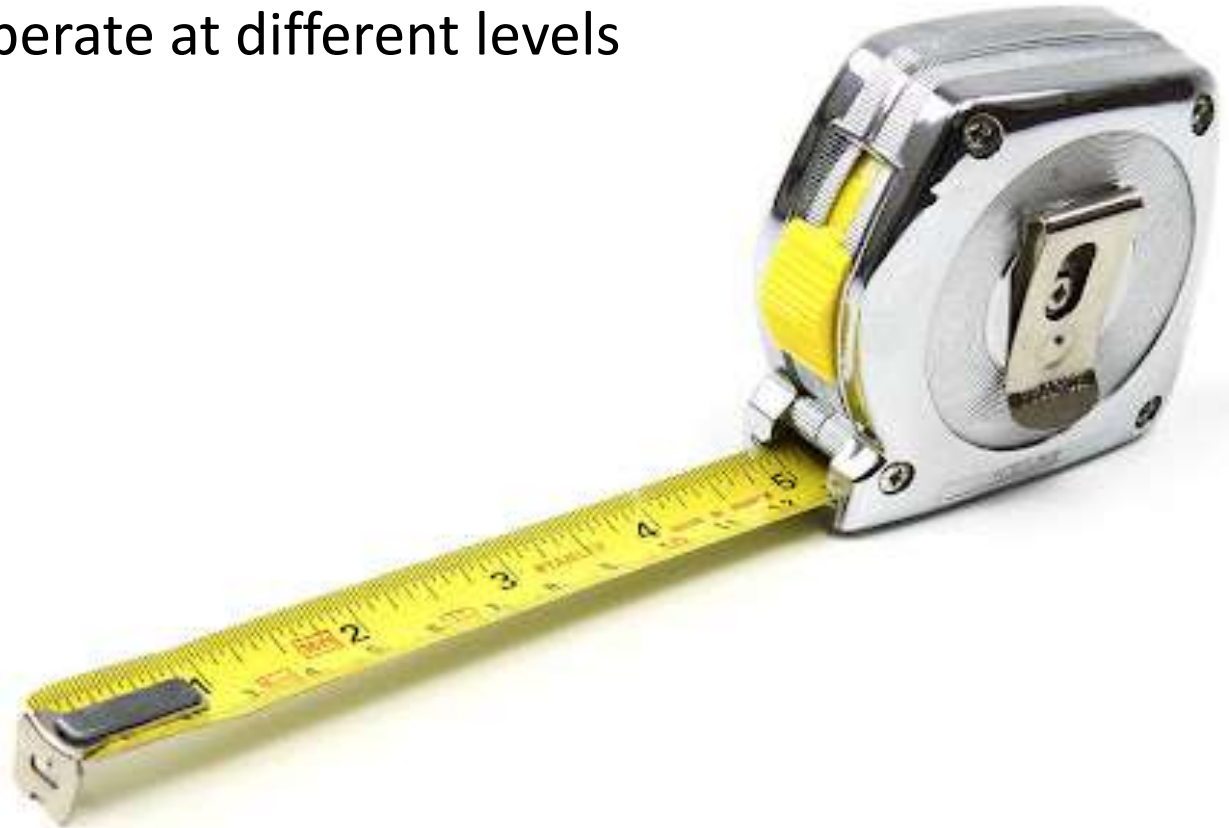


Developed by Harvard professor Francis Aguilar in 1967

LoNGPEST or LoNGPESTLE

Macro environmental forces can operate at different levels

- Local (Lo)
- National (N)
- Global (G)



Retailer - LoNGPESTEL

- **Local factors** such as planning permission and local economic growth rates
- **National factors** such as UK laws on retailer opening hours and *trade* descriptions legislation and UK interest rates
- **Global factors** such as the opening up of new markets making trade easier. The entry of new member states into the European Union might make it easier to enter that market in terms of meeting the various regulations and provide new expansion opportunities. It might also change the labour force within the UK and recruitment opportunities.



PESTLE ANALYSIS

McDonald's Examples



How to PESTEL ?

- **Impact and Period** Each factor is considered in perspective (for example: short: 1-2 years, medium: 3-5 years, long: 6-10 years), and its impact on our organisation (from small to critical).
- **How can I know it?** Use experts (internal or external), rely on reports
- **Are you sure?** In your analysis, indicate your level of certainty as to the occurrence of the trend being reversed.
- **What next?** Conclusion! Propose your tactics (short period of time to come) and strategy (far into the future) for dealing with the trends you have outlined



15,058	154,568	95,054	124
25,487	56,845	97,511	12
24,000	110,000	99,011	1
5,450	150,000	99,216	
502	35,000	101,090	
	83,000	101,684	
	45,000	101,962	
		102,747	
		1006	

Group Task

Identify an organisation of your choice and conduct a LoNGPESTEL.

20 minutes

Groups to feedback to the group



Strategic Direction

SWOT ANALYSIS

Strengths

- Strong capital position
- Low debt
- Defensible intellectual property
- Best salespeople

Weaknesses

- Branding could be better
- Products not differentiated enough
- Recent scandal from product failure

Opportunities

- Use strong financial position to make acquisition
- Acquire market share through branding
- Hire more talent

Threats

- Competitors could leverage brand strength
- Lack of differentiation could lead to price war
- May lose talent

COMPETITIVE FUTURES

Developed by Dr. Andrew S. Humphrey in the 1970's

Strategic Direction – Growth



Developed by H. Igor Ansoff in 1957

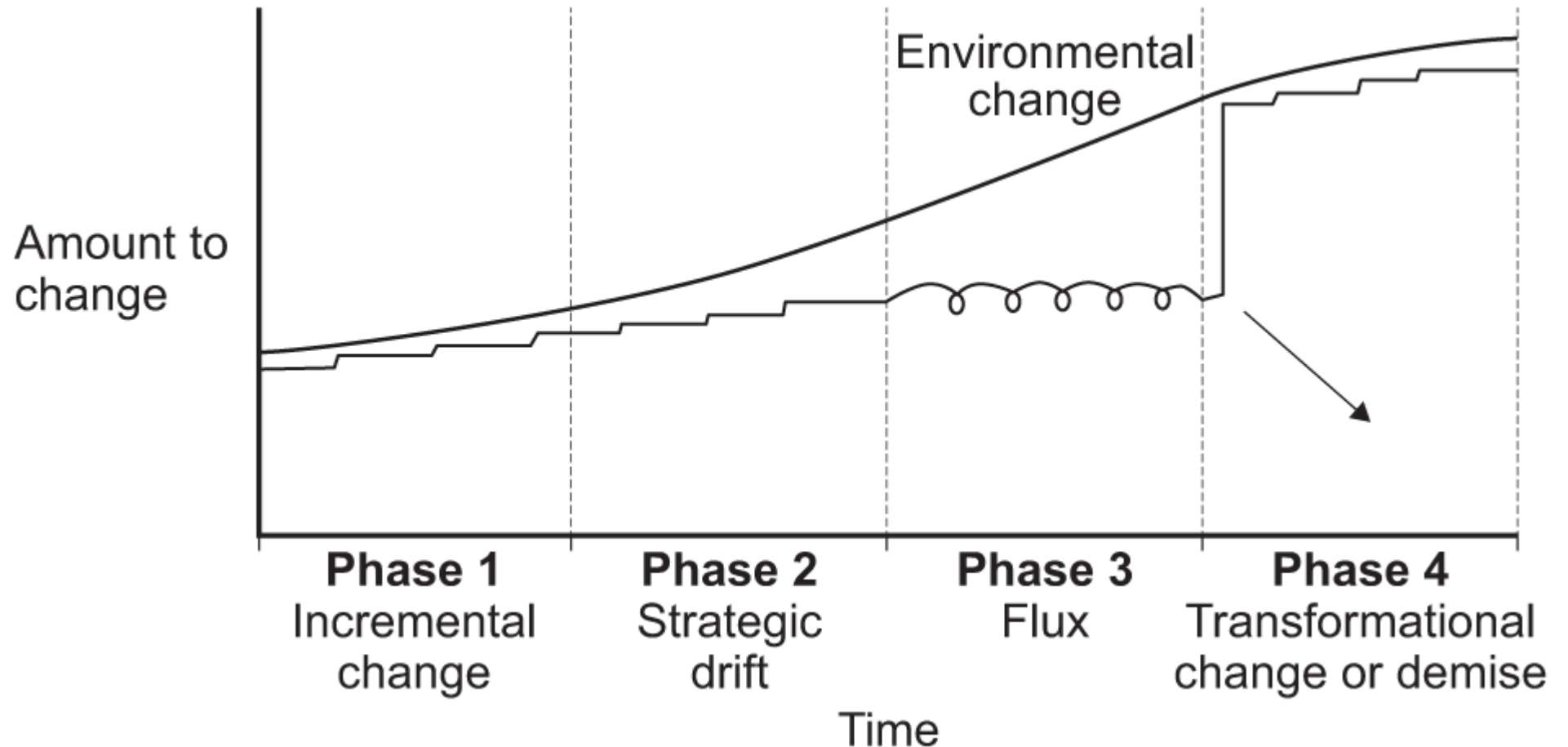
THE ANSOFF MATRIX

McDonald's Examples



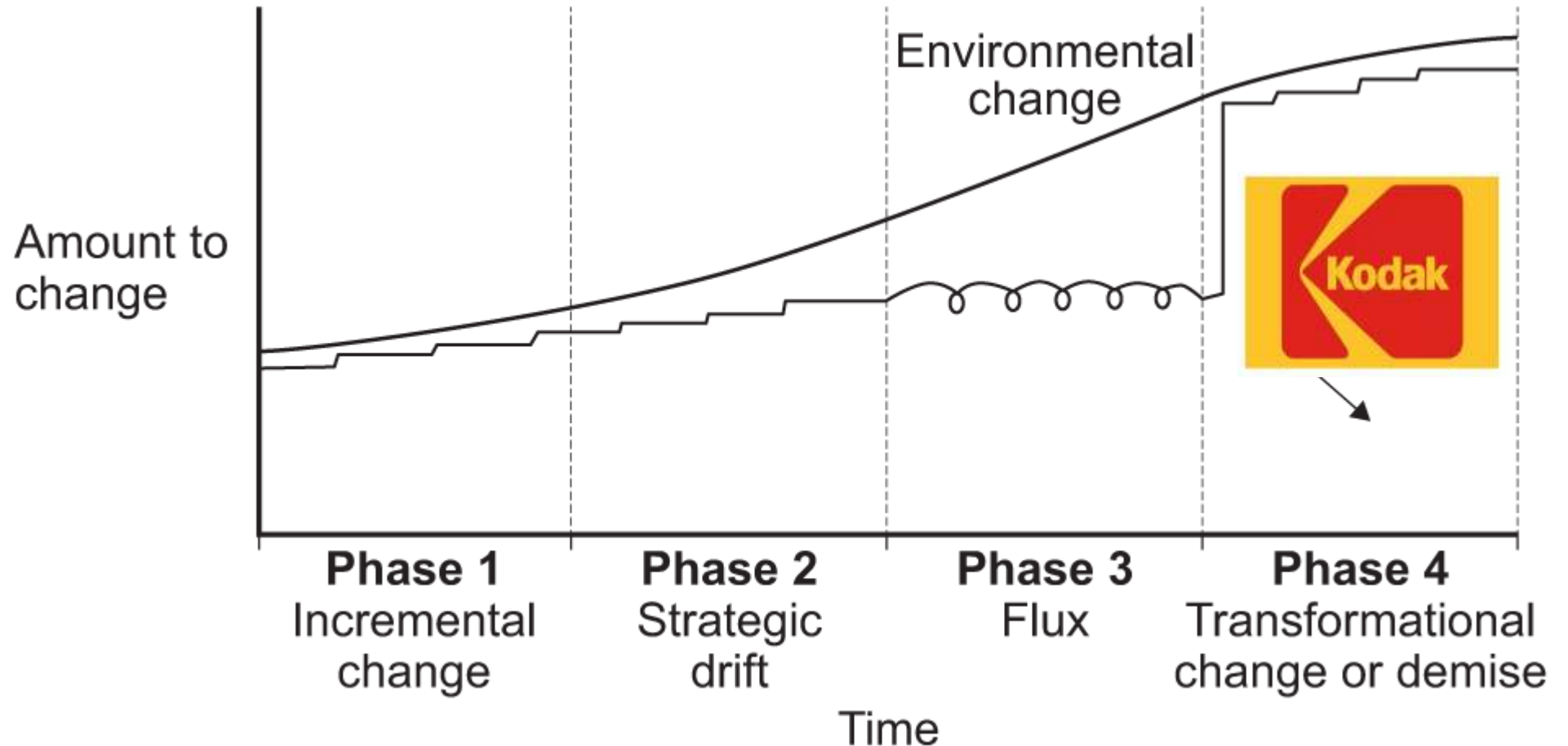
Strategic Drift ...

Strategic drift occurs when the strategy pursued by a business no longer fits with the environment around it. What may have been appropriate at one point is no longer suitable as conditions have changed.



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Strategic Drift...

“Strategy is the direction and scope of an organisation over the long term, which achieves advantage for the organisation through its configuration of resources within a changing environment and to fulfil stakeholder expectations”

Johnson and Scholes (2002) p10#]



Today we have covered:

- Introduction to this module [401MAN – The Business Environment]
- Overview of assignments 1
- What is the business environment?

References

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- Freeman, R.E. (1984) *Strategic Management: A Stakeholder Approach*, Boston: Pitman
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